



RESOLUTION NO. 004
Series of 2004

RESOLUTION AUTHORIZING THE HONORABLE CITY MAYOR MA. LOURDES C. FERNANDO TO SIGN THE NEGOTIATED CONTRACT AGREEMENTS WITH SQUARE METER TRADING AND CONSTRUCTION FOR ADDITIONAL WORKS ON THE CONSTRUCTION OF CHB OPEN LINED CANAL AT BARANGAY PARANG, BARANGAYS CONCEPCION I & II AND BARANGAY MALANDAY, AND THE COMPLETION OF DRAINAGE AT KABAYANI ROAD, BARANGAY MALANDAY, THIS CITY

Introduced by: Councilor THADDEUS ANTONIO M. SANTOS, JR.

WHEREAS, the City Government of Marikina represented by the Honorable City Mayor Ma. Lourdes C. Fernando and the Square Meter Trading and Construction, Manila entered into separate contract agreements for the construction of CHB open lined canal at Barangay Parang, Barangays Concepcion I & II and Barangay Malanday;

WHEREAS, there are still additional works which were not included in the original contracts for the construction of CHB open lined canal at the aforesaid barangays;

WHEREAS, the City Government, likewise, entered into a contract agreement with B.D. Zapanta Construction for the construction of drainage at the Kabayani Road, Barangay Malanday, this City, however, it failed to complete said project;

WHEREAS, the City Government, after the second and third lowest bidders declined the completion of the project, offered the same to Square Meter Trading and Construction, the fourth lowest bidder;

WHEREAS, Section 455 (b), (1) of the Local Government Code of 1991 provides that the City Mayor shall exercise general supervision and control over all programs, projects, services, and activities of the city government, and shall:

"x x x (vi) Represent the city in all its business transactions and sign in its behalf all bonds, contracts, and obligations, and such other documents upon authority of the Sangguniang Panlungsod or pursuant to law or ordinance; x x x"

NOW THEREFORE, BE IT RESOLVED, AS IT IS HEREBY RESOLVED by the SANGGUNIANG PANLUNGSOD of MARIKINA in session duly assembled, to authorize the Honorable City Mayor Ma. Lourdes C. Fernando to sign the negotiated contract agreements with Square Meter Trading and Construction of CHB open lined canal at Barangay Parang, Barangays Concepcion I & II and Barangay Malanday, and the completion of drainage at Kabayani Road, Barangay Malanday, this City.

RESOLVED FURTHER, that a copy of this resolution be furnished to the Honorable City Mayor Ma. Lourdes C. Fernando, and to all concerned offices and agencies of the City Government, for their information and appropriate action.

APPROVED by the SANGGUNIANG PANLUNGSOD of MARIKINA this 14th day of January 2004. 

I hereby certify to the passage of the foregoing Resolution which was duly approved the Sangguniang Panlungsod of Mari kina during its 2nd Regular Session held on the 14th day of January 2004.


LOLITA E. DE LEON
City Council Secretary

ATTESTED AND CERTIFIED
TO BE DULY APPROVED:


MARION S. ANDRES, M.D.
City Vice-Mayor/Presiding Officer

Approved by the Honorable City Mayor on 01-27-04

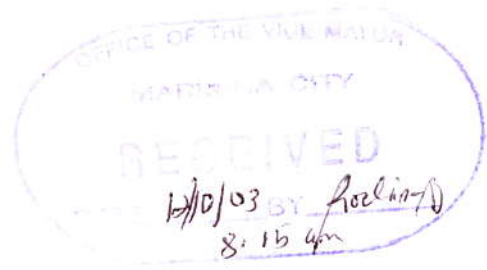

MA. LOURDES C. FERNANDO
City Mayor

CITY OF MARIKINA

Office of the City Administrator

09 December 2003

The Honorable Members
City Council
Marikina City



THRU: **Vice Mayor MARION S. ANDRES, M.D.**
Presiding Officer

Gentlemen:

May we respectfully endorse to the honorable body for **IMMEDIATE PASSAGE** of a resolution authorizing the Honorable Mayor Ma. Lourdes C. Fernando to sign the Negotiated Contract Agreement with Square Meter Trading and Construction, represented by its President, Lito C. Pascual, for the construction of CHB lined canal at F. Balagtas St., Parang, Marikina City.

Attached is a copy of the draft contract for your perusal.

For your favorable action. Thank you.

Respectfully,

MELVIN A. CRUZ
City Administrator

visit our website at www.marikina.gov.ph
E-mail: melvin_a_cruz@yahoo.com / m_cruz16@yahoo.com



LUNGSOD NG MAY MABUTING UGALI
(CITY OF GOOD CONDUCT)

STA. ELENA, MARIKINA CITY, PHILIPPINES 1800 TEL. NOS. 646-1634; 682-92-81 646-2360 TO 70 • FAX NO. 646-5277

CONTRACT can be entered into where the subject is:

- a) adjacent or contiguous to an on-going project and it could be economically prosecuted by the same contractor

NEGOTIATED CONTRACT

CONSTRUCTION OF SIDEWALK, CURBS AND GUTTER
@ F. BALAGTAS ST., PARANG, MARIKINA CITY

KNOW ALL MEN BY THESE

This Negotiated Contract Agreement was made and entered into this _____ day of _____, 200__, in the City of Marikina, Philippines, by and between:

This **CITY OF MARIKINA**, a duly constituted political subdivision organized and existing under and by the virtue of laws of the Republic of the Philippines, represented by its City Mayor **Hon. Ma. LOURDES C. FERNANDO**, with postal address at City Hall Building, Sta. Elena, Marikina City, hereinafter referred to as **OWNER**.

- and -

SQUARE METER TRADING & CONSTRUCTION, represented in this act by, President/Chairman, **LITO C. PASCUAL**, of legal age, Filipino, with business and postal address at Unit 1901 19th floor 2203 España Tower, España Blvd. Cor. Josephine St. Sampaloc Manila, and hereinafter referred to as **CONTRACTOR**.

WITNESSETH:

WHEREAS, on **June 23, 2003** the parties hereto entered into Contract for the construction of **CHB OPEN LINED CANAL @ F. BALAGTAS ST., BARANGAY PARANG, MARIKINA CITY** (hereinafter referred to as Original Contract) in the amount of Three Million Two Hundred Eighty Six Thousand Four Hundred Eighty & 77/100 (-P-3,286,480.77) Philippine Currency, See attached Contract Documents;

WHEREAS, the **Original Project** is already **95%** completed and that there are **ADDITIONAL WORKS** to be done to complete the program;

WHEREAS, the above mentioned **ADDITIONAL WORKS** is necessary for the completion and improvement of an existing project which was not included as item of works in the original contract;

WHEREAS, the **ADDITIONAL WORKS** involves the concreting of the canal cover which will serve as the sidewalk for the protection and safety of the pedestrian as well as the residents thereat and the provision of a curb and gutter for the smooth flow of waste and flood waters;

WHEREAS, **PD 1594**, as amended, **IRR – IB 10.6.2.1.**, provides that **NEGOTIATED CONTRACT** can be entered into where the subject is:

- a) adjacent or contiguous to an on-going project and it could be economically prosecuted by the same contractor

- c) that the contractor has no negative slippage and has demonstrated a satisfactory performance.

WHEREAS, it is more advantageous to the **OWNER** and that the additional items of works mentioned above be undertaken by the herein **CONTRACTOR**;

NOWHEREFORE, for and in consideration of these foregoing premises, the **OWNER** and the **CONTRACTOR** have agreed, as they do hereby agree to enter into and execute this **NEGOTIATED CONTRACT AGREEMENT** under the following terms and conditions and stipulation;

ARTICLE I

CONTRACT DOCUMENT

1.01 The following documents shall constitute integral parts of this Negotiated Contract Agreement as fully as if the contents of the said documents are reproduced, incorporated and set forth herein, and shall govern and control in full force and effect the rights and obligations of the parties, except otherwise modified by the terms and conditions hereof or by mutual agreement in writing by both parties, to wit:

- a. Revised Drawings/Plans;
- b. Approved Agency Estimates (AAE);
- c. Revised PERT/CPM incorporating this Negotiated Contract Agreement;
- d. Revised Manpower Schedule;
- e. Revised Equipment Utilization Schedule;
- f. Revised Construction Methodology;
- g. Additional Performance Security, CAR Insurance and Credit Line;
- h. Certificate of Availability of Funds;
- i. All relevant documents/communications in the execution of this agreement;
- j. Other pertinent documents as may be reasonably required by **MARIKINA CITY GOVERNMENT**

ARTICLE II

CONTRACTORS'S SCOPE OF WORK

2.01 This **CONTRACTOR**, in consideration of the payment to be made by the **OWNER** in the sum of money hereinafter specified, hereby covenants and agrees to fully execute and complete all the works covered by this agreement for the improvement of **SIDEWALK, CURBS AND GUTTER @ F. BALAGTAS ST., BARANGAY PARANG, MARIKINA CITY** at its own cost and expense and to fully and faithfully furnish all materials, labor, tools, supplies, equipment and superintendence necessary and required for the implementation and completion of the same in conformity in all respect with the provisions of the Agreement and Contract Documents, as follows:

2.02 The **Contractor** recognizes the position of trust and confidence reposed by the **OWNER**, and agrees to perform its obligations hereunder in the most efficient and competent manner, use its skill and good management, always set in good faith, and carry on the execution of this Agreement in the most sound, expeditious and economically manner consistent with the interest of the **MARIKINA CITY**.

CONSIDERATION

3.01 For and in consideration of the full, satisfactory and faithful performance by the **CONTRACTOR** of all its undertaking defined in and provided for under this Agreement and Contract Document, the **MARIKINA CITY** agrees to pay the **CONTRACTOR** additional amount of **Two Million Two Hundred Fifty Thousand One Hundred Nineteen & 68/100 (-P-2,250,119.68), Philippine Currency** inclusive of the ten and five tenth percent (10.5%) value added tax (vat) to be made and computed in accordance with the manner and procedure set forth in the original contract between the parties hereof.

ARTICLE IV

PERFORMANCE SECURITY

4.01 Upon signing of this Agreement, the **CONTRACTOR** shall as a guarantee for the faithful performance of its obligations/undertakings post additional performance security in the form of cash, manager's check, cashier's check, bank drafts/guarantee, irrevocable letter of credit issued by a reputable bank, security bond, callable on demand issued by GSIS or by security or insurance companies duly accredited by the Office of the Insurance Commissioner or a combination thereof and acceptable to **MARIKINA CITY**, in accordance with the following schedule:

- a. Cash manager's check, cashiers check, bank draft, irrevocable letter of credit five percent (5%) of the total cost of this Negotiated Contract Agreement.
- b. Bank guarantee – ten (10%) percent of the total cost of this Negotiated Contract Agreement.
- c. Surety bond – thirty (30%) percent of the total cost of this Negotiated Contract Agreement.

4.02 The performance security shall be posted in favor of **OWNER**, and shall guarantee the payment of the amount of the security as penalty in the event it is established that the **CONTRACTOR** is in default in his obligations under this Agreement.

4.03 In the execution of the performance security, the conditions prescribed in the Original Contract between the parties hereof shall be complied with.

ARTICLE V

COMPLETION DATE

5.01 The **CONTRACTOR** shall perform and complete all the works specified in this Agreement including those in the original contract within the period of **ninety (90) days** calendar days (Sundays and Holidays included).

ARTICLE VI

INSURANCE

6.01 The **CONTRACTOR** shall prior to the commencement of work, secure additional Contractor's All Risk (CAR) Insurance from the Government Service Insurance System to insure the work against all losses and damages arising from whatever cause for which the **CONTRACTOR** is responsible under this Agreement, and in such a manner that the **OWNER** is covered during the installation, completion and guarantee period

CITY OF MARIKINA

**SQUARE METER TRADING
& CONSTRUCTION**

BY:

BY:

Hon. MA. LOURDES C. FERNANDO
City Mayor

LITO C. PASCUAL
President / Chairman

WITNESSETH

Mrs. LIWAYWAY CAHANAP
Chief, Accounting Department

Signed this ____ day of _____, 2003

ACKNOWLEDGEMENT

BEFORE ME, Notary Public for in the City of Marikina, Metro Manila, this _____ day of _____ personally appeared before me Hon. **MA. LOURDES C. FERNANDO** with Residence Certificate No. _____ Issued on _____ at City of Marikina, Metro Manila at his official capacity as City Mayor and Mr. **LITO C. PASCUAL** President/Chairman, **SQUARE METER TRADING AND CONSTRUCTION**, with residence Certificate No. _____ issued at _____ on _____ known to me and to me known to be the same persons who executed this foregoing **CONTRACT AGREEMENT** and they acknowledge to that the same is their true act deed for and in behalf of the **PARTIES** they represent.

IN WITNESS HEREOF, I have hereto fixed my signature and seal this _____ day of _____.

DOC. NO. _____
PAGE NO. _____
BOOK NO. _____
Series No. _____

Republic of the Philippines
CITY OF MARIKINA

Office of the City Administrator

09 December 2003

12/10/03
8:15 am
[Signature]

The Honorable Members
City Council
Marikina City

THRU: **Vice Mayor MARION S. ANDRES, M.D.**
Presiding Officer

Gentlemen:

May we respectfully endorse to the honorable body for **IMMEDIATE PASSAGE** of a resolution authorizing the Honorable Mayor Ma. Lourdes C. Fernando to sign the Negotiated Contract Agreement with Square Meter Trading and Construction, represented by its President, Lito C. Pascual, for the construction of CHB lined canal at Molave St., Concepcion I & II, and Marikina Heights, Marikina City.

Attached is a copy of the draft contract for your perusal.

For your favorable action. Thank you.

Respectfully,

MELVIN A. CRUZ
City Administrator

visit our website at www.marikina.gov.ph
E-mail: melvin_a_cruz@yahoo.com / m_cruz16@yahoo.com



LUNGSOD NG MAY MABUTING UGALI
(CITY OF GOOD CONDUCT)

STA. ELENA, MARIKINA CITY, PHILIPPINES 1800 TEL. NOS. 646-1634; 682-92-81 646-2360 TO 70 * FAX NO. 646-5277

WHEREAS, PD 1594, as amended, IRR – IB 10.6.2.1., provides that **NEGOTIATED CONTRACT** can be entered into where the subject is:

- a) adjacent or contiguous to an on-going project and it could be economically prosecuted by the same contractor

NEGOTIATED CONTRACT

CONSTRUCTION OF SIDEWALK, CURBS AND GUTTER @ MOLAVE ST., CONCEPCION I & II, MARIKINA HEIGHTS, MARIKINA CITY

KNOW ALL MEN BY THESE

This Negotiated Contract Agreement was made and entered into this _____ day of _____, 200__, in the City of Marikina, Philippines, by and between:

This **CITY OF MARIKINA**, a duly constituted political subdivision organized and existing under and by the virtue of laws of the Republic of the Philippines, represented by its City Mayor **Hon. Ma. LOURDES C. FERNANDO**, with postal address at City Hall Building, Sta. Elena, Marikina City, hereinafter referred to as **OWNER**.

- and -

SQUARE METER TRADING AND CONSTRUCTION, represented in this act by President/Chairman **LITO C. PASCUAL**, of legal age, Filipino, with business and postal address at Unit 1901 19th floor 2203 España Tower, España Blvd. Cor. Josephine St. Sampaloc Manila, and hereinafter referred to as **CONTRACTOR**.

WITNESSETH:

WHEREAS, on **June 23, 2003** the parties hereto entered into Contract for the construction of **CHB OPEN LINED CANAL @ MOLAVE ST., BARANGAY CONCEPCION I & II, MARIKINA HEIGHTS, MARIKINA CITY** (hereinafter referred to as Original Contract) in the amount of Four Million Eight Hundred Twenty Six Thousand Five Hundred Ninety Three & 46/100 Pesos only (-P- 4,826,593.46) Philippine Currency, See attached Contract Documents;

WHEREAS, the **Original Project** is already **95%** completed and that there are **ADDITIONAL WORKS** to be done to complete the program;

WHEREAS, the above mentioned **ADDITIONAL WORKS** is necessary for the completion and improvement of an existing project which was not included as item of works in the original contract;

WHEREAS, the **ADDITIONAL WORKS** involves the concreting of the canal cover which will serve as the sidewalk for the protection and safety of the pedestrian as well as the residents thereat and the provision of a curb and gutter for the smooth flow of waste and flood waters;

WHEREAS, **PD 1594**, as amended, **IRR – IB 10.6.2.1.**, provides that **NEGOTIATED CONTRACT** can be entered into where the subject is:

- a) adjacent or contiguous to an on-going project and it could be economically prosecuted by the same contractor

- c) that the contractor has no negative slippage and has demonstrated a satisfactory performance.

WHEREAS, it is more advantageous to the **OWNER** and that the additional items of works mentioned above be undertaken by the herein **CONTRACTOR**;

NOWHEREFORE, for and in consideration of these foregoing premises, the **OWNER** and the **CONTRACTOR** have agreed, as they do hereby agree to enter into and execute this **NEGOTIATED CONTRACT AGREEMENT** under the following terms and conditions and stipulation;

ARTICLE I

CONTRACT DOCUMENT

1.01 The following documents shall constitute integral parts of this Negotiated Contract Agreement as fully as if the contents of the said documents are reproduced, incorporated and set forth herein, and shall govern and control in full force and effect the rights and obligations of the parties, except otherwise modified by the terms and conditions hereof or by mutual agreement in writing by both parties, to wit:

- a. Revised Drawings/Plans;
- b. Approved Agency Estimates (AAE);
- c. Revised PERT/CPM incorporating this Negotiated Contract Agreement;
- d. Revised Manpower Schedule;
- e. Revised Equipment Utilization Schedule;
- f. Revised Construction Methodology;
- g. Additional Performance Security, CAR Insurance and Credit Line;
- h. Certificate of Availability of Funds;
- i. All relevant documents/communications in the execution of this agreement;
- j. Other pertinent documents as may be reasonably required by **MARIKINA CITY GOVERNMENT**

ARTICLE II

CONTRACTORS'S SCOPE OF WORK

2.01 This **CONTRACTOR**, in consideration of the payment to be made by the **OWNER** in the sum of money hereinafter specified, hereby covenants and agrees to fully execute and complete all the works covered by this agreement for the improvement of **SIDEWALK, CURBS AND GUTTER @ MOLAVE ST., BARANGAY CONCEPCION I & II, MARIKINA HEIGHTS** at its own cost and expense and to fully and faithfully furnish all materials, labor, tools, supplies, equipment and superintendence necessary and required for the implementation and completion of the same in conformity in all respect with the provisions of the Agreement and Contract Documents, as follows:

2.02 The **Contractor** recognizes the position of trust and confidence reposed by the **OWNER**, and agrees to perform its obligations hereunder in the most efficient and competent manner, use its skill and good management, always set in good faith, and carry on the execution of this Agreement in the most sound, expeditious and economical manner consistent with the interest of the **MARIKINA CITY**.

ARTICLE III

CONSIDERATION

3.01 For and in consideration of the full, satisfactory and faithful performance by the **CONTRACTOR** of all its undertaking defined in and provided for under this Agreement and Contract Document, the **MARIKINA CITY** agrees to pay the **CONTRACTOR** additional amount of **Four Million Seven hundred Sixteen Thousand Four Hundred Forty & 32/100 Pesos only (-P- 4,716,440.32), Philippine Currency** inclusive of the ten and five tenth percent (10.5%) value added tax (vat) to be made and computed in accordance with the manner and procedure set forth in the original contract between the parties hereof.

ARTICLE IV

PERFORMANCE SECURITY

4.01 Upon signing of this Agreement, the **CONTRACTOR** shall as a guarantee for the faithful performance of its obligations/undertakings post additional performance security in the form of cash, manager's check, cashier's check, bank drafts/guarantee, irrevocable letter of credit issued by a reputable bank, security bond, callable on demand issued by GSIS or by security or insurance companies duly accredited by the Office of the Insurance Commissioner or a combination thereof and acceptable to **MARIKINA CITY**, in accordance with the following schedule:

- a. Cash manager's check, cashiers check, bank draft, irrevocable letter of credit five percent (5%) of the total cost of this Negotiated Contract Agreement.
- b. Bank guarantee – ten (10%) percent of the total cost of this Negotiated Contract Agreement.
- c. Surety bond – thirty (30%) percent of the total cost of this Negotiated Contract Agreement.

4.02 The performance security shall be posted in favor of **OWNER**, and shall guarantee the payment of the amount of the security as penalty in the event it is established that the **CONTRACTOR** is in default in his obligations under this Agreement.

4.03 In the execution of the performance security, the conditions prescribed in the Original Contract between the parties hereof shall be complied with.

ARTICLE V

COMPLETION DATE

5.01 The **CONTRACTOR** shall perform and complete all the works specified in this Agreement including those in the original contract within the period of **ninety (90) days** calendar days (Sundays and Holidays included).

ARTICLE VI

INSURANCE

6.01 The **CONTRACTOR** shall prior to the commencement of work, secure additional Contractor's All Risk (CAR) Insurance from the Government Service Insurance System to insure the work against all losses and damages arising from whatever cause for which the **CONTRACTOR** is responsible under this Agreement, and in such a manner that the **OWNER** is covered during the installation, completion and guarantee period.

CITY OF MARIKINA

**SQUARE METER TRADING
& CONSTRUCTION**

BY:

BY:

Hon. MA. LOURDES C. FERNANDO
City Mayor

LITO C. PASCUAL
President / Chairman

WITNESSETH

Mrs. LIWAYWAY CAHANAP
Chief, Accounting Department

Signed this ____ day of _____, 2003

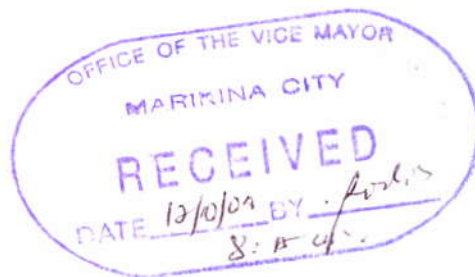


Republic of the Philippines
CITY OF MARIKINA

Office of the City Administrator

09 December 2003

The Honorable Members
City Council
Marikina City



THRU: **Vice Mayor MARION S. ANDRES, M.D.**
Presiding Officer

Gentlemen:

May we respectfully endorse to the honorable body for **IMMEDIATE PASSAGE** of a resolution authorizing the Honorable Mayor Ma. Lourdes C. Fernando to sign the Negotiated Contract Agreement with Square Meter Trading and Construction, represented by its President, Lito C. Pascual, for the construction of CHB lined canal at Kabayani Road, Malanday, Marikina City.

Attached is a copy of the draft contract for your perusal.

For your favorable action. Thank you.

Respectfully,

MELVIN A. CRUZ
City Administrator

visit our website at www.marikina.gov.ph
E-mail: m_cruz16@yahoo.com



LUNGSOD NG MAY MABUTING UGALI
(CITY OF GOOD CONDUCT)

STA. ELENA, MARIKINA CITY, PHILIPPINES 1800 TEL. NOS. 646-1634; 682-92-81 646-2360 TO 70 * FAX NO. 646-5277

CONTRACT can be entered into where the subject is:

- a) adjacent or contiguous to an on-going project and it could be economically prosecuted by the same contractor

NEGOTIATED CONTRACT

**CONSTRUCTION OF SIDEWALK, CURBS AND GUTTER
@ KABAYANI ROAD, MALANDAY, MARIKINA CITY**

KNOW ALL MEN BY THESE

This Negotiated Contract Agreement was made and entered into this _____ day of _____, 200__, in the City of Marikina, Philippines, by and between:

This **CITY OF MARIKINA**, a duly constituted political subdivision organized and existing under and by the virtue of laws of the Republic of the Philippines, represented by its City Mayor **Hon. Ma. LOURDES C. FERNANDO**, with postal address at City Hall Building, Sta. Elena, Marikina City, hereinafter referred to as **OWNER**.

- and -

SQUARE METER TRADING AND CONSTRUCTION, represented in this act by President/Chairman **LITO C. PASCUAL**, of legal age, Filipino, with business and postal address at Unit 1901 19th floor 2203 España Tower, España Blvd. Cor. Josephine St. Sampaloc Manila, and hereinafter referred to as **CONTRACTOR**.

WITNESSETH:

WHEREAS, on **NOVEMBER 22, 2002** the parties hereto entered into Contract for the construction of **CHB OPEN LINED CANAL @ KABAYANI ROAD, BARANGAY MALANDAY, MARIKINA CITY** (hereinafter referred to as Original Contract) in the amount of Six Million Four Hundred and Fifty Three Thousand Eight Hundred and Fifty Nine & 11/100 Pesos only (-P- 6,453,859.11) Philippine Currency, See attached Contract Documents;

WHEREAS, the **Original Project** is already **45%** completed and that there are **ADDITIONAL WORKS** to be done to complete the program;

WHEREAS, the above mentioned **ADDITIONAL WORKS** is necessary for the completion and improvement of an existing project which was not included as item of works in the original contract;

WHEREAS, the **ADDITIONAL WORKS** involves the concreting of the canal cover which will serve as the sidewalk for the protection and safety of the pedestrian as well as the residents thereat and the provision of a curb and gutter for the smooth flow of waste and flood waters;

WHEREAS, **PD 1594**, as amended, **IRR – IB 10.6.2.1.**, provides that **NEGOTIATED CONTRACT** can be entered into where the subject is:

- a) adjacent or contiguous to an on-going project and it could be economically prosecuted by the same contractor

- b) *the project has similar or related scope of work and is within the contracting capacity of the contractor*
- c) that the contractor has no negative slippage and has demonstrated a satisfactory performance.

WHEREAS, it is more advantageous to the **OWNER** and that the additional items of works mentioned above be undertaken by the herein **CONTRACTOR**;

NOWHEREFORE, for and in consideration of these foregoing premises, the **OWNER** and the **CONTRACTOR** have agreed, as they do hereby agree to enter into and execute this **NEGOTIATED CONTRACT AGREEMENT** under the following terms and conditions and stipulation;

ARTICLE I

CONTRACT DOCUMENT

1.01 The following documents shall constitute integral parts of this Negotiated Contract Agreement as fully as if the contents of the said documents are reproduced, incorporated and set forth herein, and shall govern and control in full force and effect the rights and obligations of the parties, except otherwise modified by the terms and conditions hereof or by mutual agreement in writing by both parties, to wit:

- a. Revised Drawings/Plans;
- b. Approved Agency Estimates (AAE);
- c. Revised PERT/CPM incorporating this Negotiated Contract Agreement;
- d. Revised Manpower Schedule;
- e. Revised Equipment Utilization Schedule;
- f. Revised Construction Methodology;
- g. Additional Performance Security, CAR Insurance and Credit Line;
- h. Certificate of Availability of Funds;
- i. All relevant documents/communications in the execution of this agreement;
- j. Other pertinent documents as may be reasonably required by **MARIKINA CITY GOVERNMENT**

ARTICLE II

CONTRACTORS'S SCOPE OF WORK

2.01 This **CONTRACTOR**, in consideration of the payment to be made by the **OWNER** in the sum of money hereinafter specified, hereby covenants and agrees to fully execute and complete all the works covered by this agreement for the improvement of **SIDEWALK, CURBS AND GUTTER @ KABAYANI ROAD, BARANGAY MALANDAY, MARIKINA CITY** at its own cost and expense and to fully and faithfully furnish all materials, labor, tools, supplies, equipment and superintendence necessary and required for the implementation and completion of the same in conformity in all respect with the provisions of the Agreement and Contract Documents, as follows:

2.02 The **Contractor** recognizes the position of trust and confidence reposed by the **OWNER**, and agrees to perform its obligations hereunder in the most efficient and competent manner, use its skill and good management, always set in good faith, and carry on the execution of this Agreement in the most sound, expeditious and economically manner consistent with the interest of the **MARIKINA CITY**.

ARTICLE III

CONSIDERATION

3.01 For and in consideration of the full, satisfactory and faithful performance by the **CONTRACTOR** of all its undertaking defined in and provided for under this Agreement and Contract Document, the **MARIKINA CITY** agrees to pay the **CONTRACTOR** additional amount of **TWO MILLION FOUR HUNDRED TWENTY SIX THOUSAND FIVE HUNDRED SEVENTY ONE & 16/100 Pesos only (-P- 2,426,571.16), Philippine Currency** inclusive of the ten and five tenth percent (10.5%) value added tax (vat) to be made and computed in accordance with the manner and procedure set forth in the original contract between the parties hereof.

ARTICLE IV

PERFORMANCE SECURITY

4.01 Upon signing of this Agreement, the **CONTRACTOR** shall as a guarantee for the faithful performance of its obligations/undertakings post additional performance security in the form of cash, manager's check, cashier's check, bank drafts/guarantee, irrevocable letter of credit issued by a reputable bank, security bond, callable on demand issued by GSIS or by security or insurance companies duly accredited by the Office of the Insurance Commissioner or a combination thereof and acceptable to **MARIKINA CITY**, in accordance with the following schedule:

- a. Cash manager's check, cashiers check, bank draft, irrevocable letter of credit five percent (5%) of the total cost of this Negotiated Contract Agreement.
- b. Bank guarantee – ten (10%) percent of the total cost of this Negotiated Contract Agreement.
- c. Surety bond – thirty (30%) percent of the total cost of this Negotiated Contract Agreement.

4.02 The performance security shall be posted in favor of **OWNER**, and shall guarantee the payment of the amount of the security as penalty in the event it is established that the **CONTRACTOR** is in default in his obligations under this Agreement.

4.03 In the execution of the performance security, the conditions prescribed in the Original Contract between the parties hereof shall be complied with.

ARTICLE V

COMPLETION DATE

5.01 The **CONTRACTOR** shall perform and complete all the works specified in this Agreement including those in the original contract within the period of **ninety (90) days** calendar days (Sundays and Holidays included).

ARTICLE VI

INSURANCE

6.01 The **CONTRACTOR** shall prior to the commencement of work, secure additional Contractor's All Risk (CAR) Insurance from the Government Service Insurance System to insure the work against all losses and damages arising from whatever cause for which the **CONTRACTOR** is responsible under this Agreement, and in such a manner that the **OWNER** is covered during the installation, completion and guarantee period

CITY OF MARIKINA

**SQUARE METER TRADING
& CONSTRUCTION**

BY:

BY:

Hon. MA. LOURDES C. FERNANDO
City Mayor

LITO C. PASCUAL
President / Chairman

WITNESSETH

Mrs. LIWAYWAY CAHANAP
Chief, Accounting Department

Signed this ____ day of _____, 2003

ACKNOWLEDGEMENT

BEFORE ME, Notary Public for in the City of Marikina, Metro Manila, this _____ day of _____ personally appeared before me Hon. **MA. LOURDES C. FERNANDO** with Residence Certificate No. _____ Issued on _____ at City of Marikina, Metro Manila at his official capacity as City Mayor and Mr. **LITO C. PASCUAL** President/Chairman, **SQUARE METER TRADING AND CONSTRUCTION**, with residence Certificate No. _____ issued at _____ on _____ known to me and to me known to be the same persons who executed this foregoing **CONTRACT AGREEMENT** and they acknowledge to that the same is their true act deed for and in behalf of the **PARTIES** they represent.

IN WITNESS HEREOF, I have hereto fixed my signature and seal this _____ day of _____, _____.

DOC. NO. _____
PAGE NO. _____
BOOK NO. _____
Series No. _____

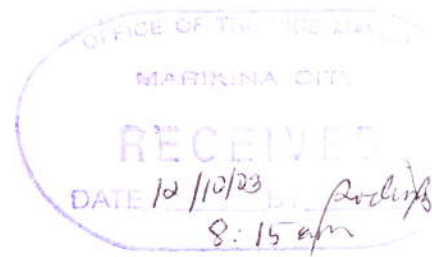


Republic of the Philippines
CITY OF MARIKINA

Office of the City Administrator

09 December 2003

The Honorable Members
City Council
Marikina City



THRU: **Vice Mayor MARION S. ANDRES, M.D.**
Presiding Officer

Gentlemen:

May we respectfully endorse to the honorable body for **IMMEDIATE PASSAGE** of a resolution authorizing the Honorable Mayor Ma. Lourdes C. Fernando to sign the Negotiated Contract Agreement with Square Meter Trading and Construction, represented by its President, Lito C. Pascual, for the construction of drainage at Kabayani Road, Malanday, Marikina City.

Attached is a copy of the draft contract for your perusal.

For your favorable action. Thank you.

Respectfully,

MELVIN A. CRUZ
City Administrator

visit our website at www.marikina.gov.ph
E-mail: melvin_a_cruz@yahoo.com / m_cruz16@yahoo.com



LUNGSOD NG MAY MABUTING UGALI
(CITY OF GOOD CONDUCT)

STA. ELENA, MARIKINA CITY, PHILIPPINES 1800 TEL. NOS. 646-1634; 682-92-81 646-2360 TO 70 * FAX NO. 646-5277

WHEREAS, in the public bidding on Nov 25, 2002, there were four pre-qualified contractors (including **B.D. ZAPANTA CONSTRUCTION**) who submitted their respective bids for package III as follows:

NEGOTIATED CONTRACT

CONSTRUCTION OF DRAINAGE AT KABAYANI ROAD, MALANDAY, MARIKINA CITY

KNOW ALL MEN BY THESE

This Negotiated Contract Agreement was made and entered into this _____ day of _____, 200__, in the City of Marikina, Philippines, by and between:

The **CITY GOVERNMENT OF MARIKINA**, a duly constituted political subdivision organized and existing under and by the virtue of laws of the Republic of the Philippines, represented by its City Mayor **Hon. Ma. LOURDES C. FERNANDO**, with postal address at City Hall Building, Sta. Elena, Marikina City, hereinafter referred to as **OWNER**.

- and -

SQUARE METER TRADING AND CONSTRUCTION, represented by its President/Chairman **LITO C. PASCUAL** of unit 1901 19th floor 2203 España Tower, España Blvd. cor. Josephine St. Sampaloc Manila. Hereinafter referred to as the **CONTRACTOR**;

WITNESSETH

WHEREAS, on Nov. 22, 2002, the **OWNER** entered into a contract with **B.D. ZAPANTA CONSTRUCTION** represented by its Vice President **JOEL D. ZAPANTA** for the Construction to **DRAINAGE (KABAYANI RD. UNDER PACKAGE III)** hereinafter referred to as the **PROJECT**; amounting to Six Million Four Hundred and Fifty Three Thousand Eight Hundred and Fifty Nine and 11/100 Pesos (-P- 6,453,859.11) Philippine Currency. (Copy of the Contract Agreement herein marked as Annex "A");

WHEREAS, the works stipulated in this original agreement shall be completed broom clean and ready for use not later than ninety (90) working days in accordance with provisions of the bid documents;

WHEREAS, **B.D. ZAPANTA CONSTRUCTION** failed to complete the project as expected in accordance with the contract provisions and has accumulated negative slippage over and above what is provided for in the said agreement;

WHEREAS, the **OWNER** through **MR. MELVIN CRUZ**, City Administrator and by the Authority of the Mayor, through his letter dated **JULY 9, 2003**, issued a **FINAL AND FORMAL NOTICE OF CONTRACT TERMINATION** by virtue of the failure of **B.D. ZAPANTA CONSTRUCTION** to comply with its contractual obligation, (Copy of the letter herein marked as Annex "B");

WHEREAS, in the public bidding on Nov 25, 2002, there were four pre-qualified contractors (including **B.D. ZAPANTA CONSTRUCTION**) who submitted their respective bids for package III as follows:

WHEREAS, the following documents are hereby incorporated into and made an integral part of this **CONTRACT AGREEMENT**;

- a) Authorization to sign for and behalf of the contractor
- b) Construction project organization chart
- c) Manpower schedule
- d) Cash Flows and Project Schedules, the term and conditions of the contract, the Supplier proposal, drawing and specifications
- e) Performance Security of the Contractor
- f) Credit Line issued by an authorized bank in an amount equal to the average operating expenses of the project for fifty days on ten percent (10%) of the total project lost per unit, whichever is lesser
- g) Company Profile
- h) Authority of the Signing Official
- i) Construction Schedule and S-Curve
- j) Construction Methods
- k) Project Organization Chart
- l) Manpower Schedule
- m) Equipment Utilization Schedule and Duly executed contract of lease of all equipments and Machineries which shall be maintained for use exclusive for the project
- n) Approved Agency Estimate
- o) Detailed Drawings & Specifications
- p) Performance Security
- q) Notice of termination of contract
- r) Other related documents

NOW, THEREFORE, for and in consideration of the foregoing premises and the terms and condition hereinafter set forth, the parties hereto agree as follows;

ARTICLE 1 = SCOPE OF WORK

The **CONTRACTOR** in consideration for the payment to be made by the **OWNER** to the **CONTRACTOR** of sum of money hereinafter stated, agrees to furnish all labor, materials, equipment, tools and other facilities and the satisfactory and faithful performance of all the works necessary to resume the work and complete the Project, ready for use except the works to be done by other parties as are specifically excluded herefrom by Drawings and described in the specifications, instructions and other related documents.

ARTICLE 2 = TIME OF COMPLETION

The works stipulated in this Contract shall be completed "broom" clean and ready for use not later than **SIXTY (60)** working days in accordance with the provision of the Bid Documents.

ARTICLE 3 = CONTRACT AMOUNT

The **OWNER** agrees to pay and in consideration of the faithful performance by the **CONTRACTOR**, in manner provided hereinafter the amount **THREE MILLION FOUR HUNDRED FOURTEEN THOUSAND ONE HUNDRED ONE AND 1/100 PESOS (-P- 3,414,101.01) PESOS**;

Should the **OWNER** require the **CONTRACTOR** to perform work over and above that required by this Agreement, an additional cost shall be added to the Contract Amount;

Any payment due and payable to the **CONTRACTOR** may be offset against any liquidated damages payable to the **OWNER** under this contract;

ARTICLE 4 = PAYMENTS

PROGRESS PAYMENT

Project payment submitted by the CONTRACTOR are subject to a retention of ten percent (10%) referred to as the "retention money". Such retention shall be based on the total amount due the CONTRACTOR prior to any deduction and shall be retained from every progress payment until fifty percent (50%) completion, the work is satisfactorily done and on schedule, no additional retention shall be done; Otherwise, the ten (10%) percent retention shall imposed;

The total "retention money" shall be made for release upon final acceptance of the works. However, the CONTRACTOR may however request for the substitution of the retention money for each progress billing with surety bonds callable on demand of amounts equivalent to the retention money substituted for and acceptable to OWNER, provided that the project is on schedule and is satisfactorily undertaken. Otherwise, the ten (10%) percent retention shall be made. Said surety bonds, to be posted in favor of the OWNER, shall be valid for a duration to be determined by the concerned implementing agency and will answer for the purposed for which the ten (10%) percent retention is intended, i. e. to cover uncorrected discovered defects and third party liabilities. Release the retention money after fifty (50%) percent of the value of works has been completed, provided that the CONTRACTOR shall post a surety bond callable on demand equivalent in amount to the retention money released and subject to the condition that the OWNER shall continue to subject succeeding progress payments on the remaining balance of work to a five (5%) percent retention, provided further that the works are satisfactorily done on schedule.

ARTICLE 5 = LIQUIDATED DAMAGES

Where the CONTRACTOR refuses or fails to satisfactorily complete the work within the specified contract timer, plus any time extension duly granted and is hereby in default under the contract, the CONTRACTOR shall pay the OWNER for the liquidated damages, and not by the way of penalty, an amount to be determined in accordance with the following formula, for each calendar day of delay, until the work is completed and accepted of taken over by the OWNER;

$$\text{TLD} = \text{VUUP} \times [(1 + \text{OCC})^n - 1] \times K$$
$$\text{VUUP} = \text{TCP} - \text{VCUP}$$

Where:

TLD = Total Liquidated Damages, in Pesos

VUUP = value of the uncompleted and unusable portions of the contract work, as of the expiry Date of the contract, in Pesos

TCP = Total Contract Price, in Pesos

VCUP = value of the completed and usable portion of the contract work, as of the expiry date of the contract, in Pesos

To be entitled to such liquidated damages, the OWNER does not have to provide that it has incurred actual damages. Such amount shall be deducted from any money due or which become due the CONTRACTOR under the contract and/or collect such liquidated damages from the retention money or other securities posted by the CONTRACTOR, whichever is convenient.

ARTICLE 6 = PERFORMANCE AND GUARANTEE BONDS

To guarantee the faithful performance of the CONTRACTOR under the contract, he shall post upon the signing of the contract a performance security in the form of cash, manager's check, cashier's check, bank draft / guarantee confirmed by local bank (in case of foreign contractor bonded by a foreign bank), letter of credit issued by a reputable bank, surety bond, callable on demand, issued by Government Service Insurance System or by MAIN/BRANCK OFFICE surety of insurance companies duly accredited by the office of the Insurance with following schedule:

- a. Cash manager's check, cashiers check, irrevocable letter of credit five percent (5%) of the total contract price.
- b. Bank draft/guarantee – ten (10%) percent of the total contract price
- c. Surety bond – thirty (30%) percent of the total price

This performance security shall be posted in favor of the OWNER and shall guarantee the payment of the amount of security as penalty in the event it is established that the CONTRACTOR is in default of this obligations.

ARTICLE 7 = SUSPENSION OF WORK

The OWNER or its duly authorized representative shall have the authority to suspend the work or partly by written order for such period as may be deemed necessary, due to force majeure or any fortuitous event or for failure on the part of the CONTRACTOR to correct bad conditions which are unsafe for workers or for the general public to carry out valid orders given by the OWNER to perform any provision s of the contract, or due to adjustment of pans to suit field conditions as found necessary during construction. The CONTRACTOR shall immediately comply with such order to suspend the work wholly or partly.

In case of total suspension, or suspension of activities along the critical path, which is not due to any fault of the CONTRACTOR, the elapsed time between the effective order to suspending operation and the order to resume work shall be allowed the CONTRACTOR by adjusting the contract time accordingly.

ARTICLE 8 = TAXES, LICENSES, PERMITS AND FEES

All the taxes, licenses, permits and fees may be due to the local and / or national government on account of performance and completion of the work stipulated herein and fees for testing for materials and samples shall be paid for and obtained by the CONTRACTOR.

ARTICLE 9 = ISSUANCE AND OTHER CONDITIONS

The CONTRACTOR shall take cognizance of the provisions of the other documents specifically for the CONTRACTOR'S responsibilities and liabilities on materials, workmanship, labor and property as stipulated in the General Conditions. Within fifteen (15) days after signing of the Contract, the CONTRACTOR shall submit the Certificate of Insurance to protect him against claims for damages for personal injury including deaths and claims for damages of the OWNER'S operations under this contract, subjected to the approval of the OWNER as to adequacy of protection and reliability of insurance company.

ARTICLE 10 = ASSIGNMENT AND SUB-CONTRACTOR

The CONTRACTOR agrees that the contract shall not be assigned, transferred, pledged, sub-contracts or make any other disposition of the contract or any part of interest therein except with the approval of the OWNER. Approval of the sub-contractor shall not relieve the main CONTRACTOR'S contract with the OWNER nor shall it create any contractual relation between the SUB-CONTRACTOR and the OWNER.

ARTICLE 11 = TERMINATION OF CONTRACT

To ensure timely and effective remedial steps in response to delay in project implementation, the OWNER or his duly authorized representative shall undertake the following calibrated actions whenever contracts for infrastructures projects reach the levels of negative slippage (attributable to the CONTRACTOR) indicated below:

1. Negative Slippage if 5% ("Early Warning" Stages): The CONTRACTOR shall be given a warning and required to submit "Catch-up" program to eliminate the slippage. The OWNER or his duly authorized representative shall provide enough supervision and monitoring of the work.

2. Negative Slippage of 10% ("ICU" Stage): The CONTRACTOR shall be given a second warning and required to submit detailed action on a program on a forthrightly (two weeks) basis which commits him to accelerate the work and accomplish specific physical targets which will reduce the slippage over a defined time period. Furthermore, the CONTRACTOR shall be instructed to specify the additional input resources money, manpower, materials, machines and management - which he should mobilized for this action program. The OWNER closer supervision and meet the CONTRACTOR every other problems and bottlenecks.
3. Negative Slippage of 15% ("Make-or-Break" Stage): The CONTRACTOR shall be issued a final warning and required to come up with a more detailed program of activities with weekly physical targets, together with the required additional input resources. On-site supervision shall be intensified, and evaluated of project performance will be done at least once a week. At the same time, OWNER of his duly authorized representative shall prepare contingency plans for the work administration or contract.
4. Negative Slippage Beyond 15% ("Terminal" Stage): The OWNER his duly authorized representative shall initiate the remaining work by administration or assignment to another contractor / appropriate agency. Proper transitory measures shall be taken to minimized work disruptions, e.g., take-over by administration while re-bidding is going-on.

In Case that the delay in the completion of the work exceed a time duration equivalent to twenty (20%) percent on the specified contract times plus any time extension duly granted to the CONTRACTOR'S performance security and take-over the prosecution to the project of award the same to a qualified CONTRACTOR through negotiated contract.

In no case however, shall the total sum of the liquidated damages exceed fifteen (15%) percent of the total contract price, in which event the contract shall automatically be taken over by the OWNER or award the same to a qualified CONTRACTOR through negotiation and the erring CONTRACTOR'S performance security shall be forfeited. The amount if the forfeited performance security shall be set aside from the amount of the liquidated damages that the CONTRACTOR shall pay the OWNER the provisions of this clause.

ARTICLE 12 = APPLICABILITY OF ORDER LAWS

The provisions of P. D. 1594 as amended, its implementing Rules and Regulations, as amended and all other laws, pertaining to infrastructures project shall apply.

ARTICLE 13 = EFFECTIVITY

This Contract shall be effective upon signing thereof and approved by the proper authorities and after its contract review subject to whatever addition, alteration, deletion and amendment which shall be binding and effective and shall form part of the contract.

BY:

BY:

Hon. MA. LOURDES C. FERNANDO
City Mayor

LITO C. PASCUAL
President / Chairman

WITNESSETH

Mrs. LIWAYWAY CAHANAP
Chief, Accounting Department

Signed this ____ day of _____, 2003

REPUBLIC OF THE PHILIPPINES)
CITY OF MARIKINA, M.M.) S.S.

ACKNOWLEDGEMENT

BEFORE ME, Notary Public for in the City of Marikina, Metro Manila, this ____ day of _____ personally appeared before me **Hon. MA. LOURDES C. FERNANDO** with Residence Certificate No. _____ Issued on _____ at City of Marikina, Metro Manila at his official capacity as City Mayor and Mr. **LITO C. PASCUAL** President/Chairman, **SQUARE METER TRADING & CONSTRUCTION**, with residence Certificate No. _____ issued at _____ on _____ known to me and to me known to be the same persons who executed this foregoing **CONTRACT AGREEMENT** and they acknowledge to that the same is their true act deed for and in behalf of the **PARTIES** they represent.

IN WITNESS HEREOF, I have hereto fixed my signature and seal this ____ day of _____

DOC. NO. _____
PAGE NO. _____
BOOK NO. _____
Series No. _____